

Indexation cap policy 2026

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Purpose

This policy sets how SD Worx Payroll BE applies the indexation cap introduced by the 2026 federal budget agreement. It replaces the interim guidance of December 2025 and all client FAQs that predate it.

Scope

The policy covers all Belgian private-sector employers serviced by Payroll BE, in all joint committees. It does not apply to payrolls run under Dutch or Luxembourg law.

Rule

The indexation cap applies from 1 June 2026. From that date, automatic wage indexation applies in full to the part of gross monthly pay up to EUR 4,000 and does not apply to the part of gross monthly pay above EUR 4,000.

Worked example

An employee earns EUR 4,800 gross per month and the joint committee applies an indexation of 2.00%. The indexed part is $\text{EUR } 4,000 \times 2.00\% = \text{EUR } 80.00$. The part above the cap, EUR 800, stays unchanged. New gross monthly pay: EUR 4,880.00. Without the cap it would have been EUR 4,896.00, so the cap reduces the increase by EUR 16.00.

Timing

The moment of the first indexation under the cap depends on the indexation mechanism of each joint committee. Payroll Ops BE maintains the calendar per joint committee in the procedures library.

Questions: contact Bram De Smet (Payroll Legal) at bram.de.smet@sdworx.com.